Thank You ☺

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UNIVERSIDAD COMPLUTENSE MADRID

NORTH AMERICAN UNIVERSITIES REUNIDAS – UNIVERSIDAD COMPLUTENSE DE MADRID

"STRATEGIC MANAGEMENT COURSE"

MID-TERM EXAM, March 11, 2026

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PART 1. CRITICAL THINKING

1. The brand name "Apple" is considered, jointly with the company's technological innovation, one of its main assets. Justify that sentence according to the Resource-Based View (Analysis) (4 points).

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using the resource based view (RBV) firm level preformance differences what a firm has inside complements external view. apple is better than competitors and sustainable over time. in addition at external level pestel, fireforces we analyse industry structue and profit potential and at the internal level RBV and VRIO we explain firm level preformance differences. in summary, the combined effect of those forces is that a good diagnosis combines both. the external view to understand the playing field, and the internal view to see wheater the firm has the resources and capabilities to build and sustain competitive advantage on that field. The use of brand name can increase or decrease value over time. intangible, not fully reflected in financial statements. Therefore preformance makes sense only relative to a referent industry average, main rival, the firms past or attention. which means internal view complements external view for the company. same goes for human capital and many capabilities. both internal and external capabilites are needed for strategy. apple does something that is rare, valuable, and hard to substute so thats why branding increases its reputation. conventional financial statements understate firms value because of intangibles. such as reputation like "apple".

Explain each one

BUSINESS CASE: COMPETITIVE DYNAMICS IN SPANISH GAS AND OIL INDUSTRY

The gas and oil industry in Spain is a critical component of the country's energy sector. Despite Spain's reliance on imports for most of its oil and gas needs, the industry plays a significant role in the economy. The Spanish oil and gas market had total revenues of $123.2 billion in 2022, representing a compound annual growth rate (CAGR) of 6% between 2017 and 2022.

The gas and oil industry in Spain implies the need for substantial capital investment and compliance with stringent environmental regulations. Established companies benefit from their large production capability and established distribution networks, making it challenging for new competitors to enter the market. Spain's reliance on imports for its oil and gas supply means that major suppliers, MNCs located in the United States, Mexico, and Brazil, have substantial control over the availability and pricing of these resources. Any disruptions in supply or changes in global oil prices can significantly impact the cost structure and profitability of Spanish companies in the industry. Buyers include industrial consumers, transportation companies, but mainly millions of individual households. However, the increasing availability of renewable energy sources, such as wind, solar, and hydropower, and sustainable transportation is a market tendency, becoming more viable and cost-effective. Also, Government policies promoting green energy and reducing carbon emissions further drive the adoption of these alternatives. The industry is highly competitive, with four major players—Repsol, Cepsa, Galp, and BP—controlling approximately 70% of the market. These companies compete on multiple fronts, including price, quality, and technological innovation. The industry's cyclical nature, influenced by global oil prices and economic conditions, adds to the competitive pressure.

Questions:

2. Is the Spanish oil and gas industry attractive? Explain it through the Porter's Five Forces Model (4 points)

This question is essentially about industry attractiveness in spanish oil and gas. From porters five forces perspective ~~attractiveness is high when~~ supplier power is high when few suppliers because you depend on their specific input so they have info on your business and can forward integrate. In the case, major suppliers like MNC in the US, mexico and brazil have "substantial control over the availability and pricing of these resources". substitutes products/tech that satisfy the same need in the case "renewable energy sources... is a market tendency, becoming more viable and cost effective." from a rivalry perspective "four major players - Repsol, Repsol, gas natural, and bp control 70% of the market" which makes the industry unattractive for price wars and lower margins. now make up 70% of the market leaving only 30% left for new companies. from a new entrants perspective force is easy and entry more firms more rivalry. ~~barrier~~ which makes the ~~compe~~ industry unattractive. from a substitutes perspective industry is unattractive if products/tech need the same need. disruptive tech like sustainable energy can increase this force. I talked about buyer power and supplier power earlier because industry attractiveness is always from the firms perspective. strong forces means less attractive, weak forces mean more attractive. therefore the spanish oil and gas industry is structurally unattractive because of strong rivalry, 70%, powerful suppliers, US, mexico, brazil, and substitutes, green energy, yet a firm may still get above average returns if it controls VRIO resources like brand, tech, network, that rivals cant copy and if a firm has a niche.

NO

NO barrier to entry high

3. Give three strategic (and realistic) responses to improve industry's attractiveness (3 points)

This question is about industry attractiness and how to improve it using ~~internal and~~ CA at a transaction level. Using porters three strategies, low cost, differentiation, focus with examples. A company can have CA in an unattractive industry if they have strong internal resources and capabilities can out weigh a bad industry therefore a niche company energy source with unique benefits. the CA is at each transaction when a customer choose you instead of a rival or not buying. built sale by sale, over many transactions it looks sustained. low cost win on price. differentation. focus. stuck in the middle are all competitive advantage and porters. from porters frame work firms can seek advantage by low cost differentiation or focus. low cost wins with price sensitive customers, differentation creates inelastic demand through brand, quality or service. focus serves a narrow segment. being "stuck in the middle" neither cheap low cost nor differentiated. tends to produce low margins and weak loyalty. at the external level industry structure and profit potential. at the internal level firm level performance differences. because financial statements underestate firm value the competive lies in intangibles. sustainable advantage tends to arise from network design, hub control, brand and loyalty rather than just output because given capital intensity, regulation and exposure to powerful suppliers and substitutes. gas and oil are in high risk, low margin context. ~~Hate everything I just wrote.~~

First low cost we increase attractiness by winning on price. Second we win on differentation. and third focus a niche. maybe a changing gov. stronger euro. aging population. First new entry more rivalry. new bearing curve licenses, regulations etc. Second we substitute to energy efficient solutions. Then third we get rid of organizing powers so no margins sure and control by either buyers or suppliers. I dont think did this right.

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Not about competitive strategies!

1st = Identify the threats.

2nd = How to overcome them